

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester I Examination, 2013-14

Paper No. BCH-111: Financial Accounting - I

Time: 3 Hours

Maximum Marks: 70

Instructions: Attempt all questions. Marks are noted against each question.

Question 1. Define accounting. Explain the Generally Accepted Accounting Principles (GAAP) as they make accounting a perfect language of business. [9+5]

OR

What is a journal? What is its use in accounting? Describe illustratively the various types of journal used in accounting. [2+4+8]

Question 2. The following errors were found in the books of a firm on December 31, 2012:

- (i) Rs. 3,000 spent on the extension of factory building was charged to Repairs Account.
- (ii) Shri Ram's cheque of Rs. 240 was dishonoured. His account was posted in Allowance Account.
- (iii) Goods of Rs. 800 were returned by Ramesh Chandra. The goods were included in stock but no record for it was made in the books of account.
- (iv) Rs. 50 spent on the repair of a machine was posted in Machinery Account.
- (v) Rs. 4,500 spent on the extension of Plant and Machinery was posted to Wages Account.
- (vi) Shri Ram's cheque of Rs. 150 received through Sita Ram was credited to Sita Ram's Account.
- (vii) An amount of Rs. 300 withdrawn by the proprietor for his personal use was posted to Travelling Expenses Account.

Pass the rectifying journal entries.

[7]

OR

Define provision and reserve and explain the distinction between the two.

[7]

Question 2(b). A Company Ltd. maintains a provision for bad debts at 5% and a provision for discount at $2\frac{1}{2}\%$ on debtors. On 01.01.2011, the balance in the provision for bad debts account was Rs. 10,000 and that in the provision for discount on debtors was Rs. 5,000. Total debtors on 31.12.2011 were Rs. 2,40,000 after writing off bad debts Rs. 6,000 and allowing discount Rs. 2,000. On 31.12.2012, total debtors were Rs. 2,00,000 after writing off bad debts Rs. 1,000 and allowing discount Rs. 500.

Show the provision for bad debts and provision for discount on debtors accounts for the two years. [7]

Question 3. Following is the Balance Sheet of A and B on September 30, 2013. They share profits and losses in the ratio of 3/5 and 2/5 respectively.

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
Creditors	15,000	Freehold Property	10,000
Bills Payable	3,410	Plant and Machinery	4,500
Capitals:		Furniture	1,000
A	18,000	Debtors	22,500
B	16,000	Less: Provision for Bad debts 4,000	18,500
		Stock	12,500
		Investments	4,250
		Cash	1,660
Total	52,410	Total	52,410

They admitted C into partnership from 1st October 2013. The terms of admission are as under:

- C to bring in Rs. 6,000 as Capital and Rs. 4,800 for goodwill in order to get 2/7 share in profits. Both these sums are to remain in business.
- Goodwill of Rs. 4,800 paid by C to be credited to the Loan Account of A and B in their profit sharing ratios.
- Value of the whole of the goodwill on the same basis as that paid by C is to be raised in the books of the new firm.
- Assets are to be valued as: Freehold Property Rs. 15,000; Plant and Machinery Rs. 4,000; Stock to be discounted at 10 percent.
- Investments, the market value of which at the date of Balance Sheet is Rs. 3,200, to be taken over by A at that value.
- Provision for Bad debts is to be reduced by Rs. 1,000.

C paid the sum of Rs. 10,800 by cheque on October 1, 2013.

Prepare the Revaluation Account, Capital Accounts, Loan Accounts of A and B and the Balance Sheet after C's admission. [14]

OR

Define goodwill. Explain the methods of its valuation. Show the accounting treatment of goodwill on admission of a partner. [14]

Question 4. A, B and C are partners sharing profit and loss in the ratio of 3 : 2 : 2. Their Balance Sheet as on January 1, 2012 was as follows:

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
Sundry Creditors	16,000	Cash	3,000
Employees' Provident Fund	2,000	Sundry Debtors 16,000	
Reserve Fund	4,000	Less: Provision 1,000	15,000
Workmen's Compensation Fund	6,000	Stock	25,000
Capitals:		Furniture	6,000
A	50,000	Patents	4,000
B	30,000	Building	60,000
C	25,000	Goodwill	20,000
Total	1,33,000	Total	1,33,000

C retires on the above date and partners agreed that:

- (i) Goodwill is to be valued at two years' purchase of average profit of last four years. Profits were: 2009 – Rs. 14,000; 2010 – Rs. 18,000; 2011 – Rs. 20,000 (loss); 2012 – Rs. 15,400.
- (ii) Provision for doubtful debts be made at 5% on debtors.
- (iii) Patents were valueless.
- (iv) Stock to be appreciated by 10%.
- (v) Building to be appreciated by 20%.
- (vi) Furniture to be depreciated by 10%.
- (vii) Creditors were to be paid Rs. 2,000 more than the book value.
- (viii) Goodwill shall not appear in the books of the new firm.

Prepare Revaluation Account, Capital Accounts and Balance Sheet of the firm after C's retirement. [14]

OR

What is a joint life policy? Show illustratively various accounting treatments of joint life policy in the books of a firm. [14]

Question 5. A, B and C are partners in a firm. Their Balance Sheet as on March 31, 2013 is given as under:

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
Creditors	32,000	Bank Account	4,000
Reserve	2,000	Machinery	20,000
Capitals:		Stock	8,000
A 15,000		Furniture	2,000
C 6,000	21,000	Debtors	18,000
		B's Capital Account	3,000
Total	55,000	Total	55,000

The firm is dissolved due to insolvency of B who is unable to contribute anything in the payment of his dues to the firm.

Machinery realised Rs. 15,000; Furniture Rs. 3,200 and Debtors Rs. 12,000. Creditors were paid at a discount of 5%.

Prepare the necessary accounts to close the books of the firm and show the settlement of accounts of the partners. [14]

OR

Distinguish between Revaluation Account and Realisation Account. When and how are the two accounts prepared? [4+2+8]

[Click here to visit our website](#)

[Click here to visit our contributor](#)

[Click here to visit our contributor](#)